5. INCOME TAXES AND CREDITS:

Total income taxes applicable to operations differ from the tax that would have resulted by applying the statutory Federal income tax rate to pre-tax income for the following reasons (in thousands):

	2009	2008	2007
Tax at Statutory Rate	$ 23,205	$ 23,078	$ 22,637
Increase (Decrease) Resulting from:			
State Income Taxes	4,471	4,491	4,396
Amortization of Investment Tax Credits	(314)	(318)	(320)
ESOP Dividend	(730)	(736)	(610)
Amortization of Flowthrough Depreciation	664	664	664
Other - Net	(192)	(671)	(115)
Net Income Taxes	$ 27,104	$ 26,508	$ 26,652

The provision for Income Taxes is comprised of the following (in thousands):

	2009	2008	2007
Current:			
Federal	$ 3,158	$ 1,042	$ 9,951
State	1,842	4,088	3,744
Total Current	5,000	5,130	13,695
Deferred:			
Federal	17,381	18,877	10,258
State	5,037	2,819	3,019
Total Deferred	22,418	21,696	13,277
Investment Tax Credits	(314)	(318)	(320)
Net Income Taxes	$ 27,104	$ 26,508	$ 26,652

Investment Tax Credits are deferred and amortized at the annual rate of 3%, which approximates the life of related assets.

The net tax effect of temporary differences between the carrying amounts of assets and liabilities for financial reporting and income tax purposes resulted in the following net deferred tax liabilities at December 31 (in thousands):

	2009	2008
Current:		
Deferred Fuel Costs - Net	$ 4,121	$ 4,121
Uncollectibles	(1,322)	(1,208)
Deferred Revenues	7,396	9,055
Section 461 Prepayments	709	514
Other	738	(7)
Current Deferred Tax Liability - Net	$ 11,642	$ 12,475
Noncurrent:		
Book Versus Tax Basis of Property	$ 201,546	$ 174,208
Deferred Fuel Costs - Net	7,568	5,470
Environmental	17,247	20,608
Deferred Regulatory Costs	1,259	1,246
Deferred State Tax	(9,075)	(7,366)
Investment Tax Credit Basis Gross-Up	(782)	(944)
Deferred Pension & Other Post Retirement Benefits	28,783	32,311
Pension & Other Post Retirement Benefits	(20,882)	(27,063)
Deferred Revenues	(14,455)	(11,226)
Other	(284)	(194)
Noncurrent Deferred Tax Liability – Net	$ 210,925	$ 187,050

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SJG is included in the consolidated federal income tax return filed by SJI. The actual taxes, including credits, are allocated by SJI to its subsidiaries, generally on a separate return basis. As of December 31, 2009 and 2008, income taxes due to and (from) SJI were approximately $6.0 million and $(5.8) million, respectively, and are included in the balance sheets under the caption, Prepaid Taxes.

On January 1, 2007 SJG adopted new provisions of FASB ASC Topic 740 – “Income Taxes.” As a result, SJG recognized a $0.4 million reduction to beginning retained earnings as a cumulative effect adjustment and a noncurrent deferred tax asset of $1.1 million. A reconciliation of unrecognized tax benefits is as follows (in thousands):

	2009	2008	2007
Balance at January 1,	$ 910	$ 907	$ 1,112
Increase as a result of tax position taken in prior years	42	253	28
Decrease due to a lapse in the statue of limitations	(376)	(250)	(233)
Balance at December 31,	$ 576	$ 910	$ 907

The total unrecognized tax benefits as of December 31, 2009 were $0.6 million, not including $0.5 million of accrued interest and penalties. The total unrecognized tax benefits as of December 31, 2008 were $0.9 million, not including $0.6 million of accrued interest and penalties. The amount of unrecognized tax benefits that, if recognized, would affect the effective tax rate is not significant. Our policy is to record interest and penalties related to unrecognized tax benefits as interest expense and other expense respectively. These amounts were not significant in 2009, 2008 or 2007. There have been no material changes to the unrecognized tax benefits during 2009, 2008 or 2007 and we do not anticipate any significant changes in the total unrecognized tax benefits within the next 12 months.

The unrecognized tax benefits are primarily related to an uncertainty of state income tax issues and the timing of certain deductions taken on our income tax returns. Federal income tax returns from 2006 forward and state income tax returns primarily from 2005 forward are open and subject to examination.